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Mara Heritage Bank Board Pack — Q3 FY25

For the Board of Directors | 15 October 2025

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Executive summary

The bank is exhibiting strain across two fronts that appear connected. Credit quality in the legacy SME book is deteriorating — the NPL ratio climbed from 3.6% to 4.2% over two quarters, driven by agri-processing exposures. Simultaneously, the digital banking unit is losing talent at 11.4% annualised attrition, with four critical vacancies unfilled and retention rates missing target by three percentage points. These patterns suggest the institution is operating two incompatible models: a legacy SME-agri lending business entering stress, and an under-resourced digital capability that cannot retain the specialists needed to execute transformation or manage emerging risk complexity. The board faces interdependent decisions on capital allocation, digital strategy, and risk appetite that will determine whether Mara Heritage commits to the transformation or recalibrates expectations.

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Credit Performance & Risk Position

NPL trajectory and concentration within tolerance, but momentum adverse

The NPL ratio reached 4.2% in Q3, up from 4.0% in Q2 and 3.6% in Q1. The deterioration is concentrated in the SME agri-processing segment, which now accounts for the majority of new delinquencies. Provision coverage stands at 65%, within the board-set floor of 60%, but the upward trend in problem loans is consuming capital faster than anticipated at the start of the fiscal year.

Single-name concentration remains controlled. The largest exposure (Nyathera Holdings at 7.4% of capital) and aggregate top-ten concentration (32.1%) both sit comfortably below the 12% single-name ceiling. No borrower exceeds 10% of capital. The concentration discipline applied over prior years is holding, but it does not address the portfolio-level migration risk now evident in the SME book.

The board should decide whether the agri-processing stress reflects temporary sector headwinds or signals a structural problem with underwriting models in that segment. If the former, additional provisions may suffice; if the latter, the bank needs either to exit the segment or rebuild credit analytics capability — which connects directly to the talent and capacity questions addressed below. []

Operational Risk & System Resilience

Material service disruption flagged but detail incomplete

Three operational risk events exceeded the KShs 5M materiality threshold in Q3. The most significant was a nine-hour mobile banking outage on 4 August. The submission from the Chief Risk Officer truncates mid-sentence and does not provide root cause, customer impact, or remediation status.

Mobile banking is the primary digital channel and the foundation of the transformation strategy under board review. A nine-hour outage during business hours is a Tier 1 incident by any measure. The board requires a complete incident report — including whether the failure was vendor-related, capacity-driven, or a security event — before making capital or strategic commitments to the digital platform.

The absence of this detail in the risk submission is itself a process risk. The board should request the full post-incident review and assess whether operational risk reporting frameworks are keeping pace with the bank's growing reliance on digital infrastructure. []

Talent Retention & Organisational Capacity

Digital banking team attrition at crisis threshold

Attrition in Q3 reached 11.4%, up from 9.8% in Q2, with 23 of 28 departures voluntary. The bleeding is concentrated in the digital banking unit, which now carries four critical vacancies. Retention of key talent fell to 92% against a 95% target. The CHRO attributes the departures to a compensation gap versus market rates for technology specialists and cultural integration challenges among recent digital hires.

The CHRO requests $1.2M in FY26 budget authority for targeted retention bonuses and market-rate adjustments in the digital unit. The submission does not define 'key talent' by headcount, role taxonomy, or performance criteria, making it difficult to assess whether the three-point retention miss represents two departures or fifteen. It also does not quantify the cost of vacancy — delayed projects, overwork risk on remaining staff, or outsourcing spend to cover gaps.

The talent crisis and the NPL deterioration are likely related. Managing a rising NPL book in agri-processing requires credit analytics and risk-monitoring capacity. If the bank is losing data analysts, risk modellers, and digital product specialists at double-digit rates, it lacks the human capital to execute either a turnaround of the legacy book or a credible digital transformation. Approving retention spend without clarity on strategic direction risks throwing money at a symptom rather than resolving the underlying capacity constraint. []

Strategic Implications

Two operating models under simultaneous strain

The board is being asked to allocate Q4 capital, refresh the digital transformation roadmap, and recalibrate risk tolerance. These decisions are interdependent, but the bank lacks the inputs to make them coherently. There is no CFO submission on capital adequacy, cash position, or the budget envelope available for competing claims. There is no strategy or digital lead input on product adoption, customer migration rates, or competitive positioning.

The evidence suggests Mara Heritage is running two incompatible operating models. The legacy SME-agri business is failing — NPLs rising, no mention of origination growth or sector strategy refresh. The digital business is under-resourced — can't retain talent, suffering service outages, culturally misaligned with the legacy organisation. The bank has not yet committed fully to either model or designed an intentional transition between them.

The board should use the Q3 meeting to force a choice. Option A: commit to the digital transformation by approving the retention spend, accepting NPL runoff in the legacy book as planned obsolescence, and ringfencing capital for digital platform investment. Option B: retreat from transformation, reduce digital ambitions to cost-efficiency plays, fix the SME credit model,

and reset compensation expectations to match a traditional regional bank. The current posture — trying to do both with insufficient resources — is producing the worst of both outcomes. [], []

Recommendations

1. CRO to deliver full post-incident review of the 4 August mobile banking outage, including root cause and remediation roadmap, by 25 October.

2. CHRO to provide definition of 'key talent' cohort (headcount, role taxonomy, retention criteria) and cost-of-vacancy analysis for the four critical digital banking roles by 25 October.

3. CFO to present capital adequacy position, FY26 budget envelope, and scenario analysis for retention spend vs NPL provisioning vs digital capex trade-offs at the Q3 board meeting.

4. Executive team to bring a single recommended strategic posture (commit to transformation vs recalibrate to legacy-focused model) with explicit resource implications to the Q3 board meeting for decision.

5. Board to decide whether the agri-processing NPL deterioration warrants segment exit, underwriting model overhaul, or acceptance as cyclical stress, and direct management accordingly.

6. Board to establish operational risk reporting standards for digital infrastructure incidents, including mandatory root-cause disclosure for all Tier 1 events.

Sources

[1] chro-q3-contribution.txt

[2] cro-q3-contribution.txt